

Meta Platforms, Inc.

META NASDAQ

Buy **\$606.42** ▼ **3.31%** 12M Price Target **\$720.00** 52-Week Range **\$520.26 – \$796.25** Market Cap **\$1.54T**

META: AI Capex Fears Hit Stock, But Ad Engine Still Humming

WHAT HAPPENED

- META dropped 3.3% today and is down ~6% over 3 sessions — but this isn't really about META. Alphabet reported last night, cloud grew 82% (huge), but they're jacking up AI capex (capital expenditures = money spent on data centers/chips) and the market freaked out. META got dragged down in sympathy because everyone assumes Zuck will do the same thing.
- Volume today was only 3.5M shares vs. 10M+ recent average — that's a thin, jittery selloff, not institutional dumping. Translation: this looks like nervous retail and algos reacting to the GOOGL print, not smart money bailing.

WHY IT MATTERS

Here's the thing — the market is pricing META like it's about to blow up its cash flow on AI spending, but the Insider Monkey piece today literally says the AI investment is already juicing the ad platform (better targeting = higher ad prices = more revenue per user). So the "capex is bad" narrative might get flipped on its head when META reports earnings next week. The options flow is screaming bullish (put/call ratio of 0.51 means way more people betting up than down), and institutions still own 80% of the float. My read: this dip is a setup, not a warning — the smart money is positioned for a bounce on earnings, and the retail panic is giving you an entry.

POLICY & POLITICAL WATCH

The big overhang is the EU's Digital Markets Act enforcement — META is still fighting a ruling about its "pay or consent" ad model, and a bad outcome could dent European ad revenue (roughly 25% of the business). On the US side, the Trump administration has been notably friendlier to Big Tech on antitrust than Biden was, and the KOSA (Kids Online Safety Act) revival in Congress is the thing to watch — if it passes with strict age-verification rules, META has to spend more on compliance but smaller competitors get crushed worse, which is actually a moat. Also keep an eye on the AI executive order framework — the current admin is pushing "light touch" AI regulation, which is a tailwind for META's Llama models and the whole open-source AI bet Zuck is making.

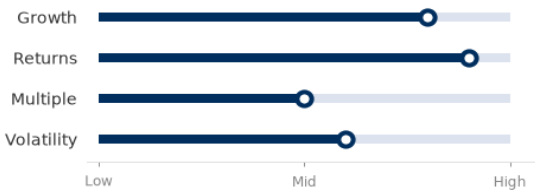
IS IT EXPENSIVE?

At \$606, META trades around 22x forward earnings — meaning you're paying \$22 for every \$1 of profit the company is expected to make next year. That's actually cheap for a company growing revenue ~15% with 35%+ operating margins — the S&P average is around 21x and most of those companies grow way slower. The stock is only at 31% of its 52-week range, so you're buying closer to the lows, which is rare for a mega-cap that's still fundamentally firing on all cylinders.

Key Data

Price (USD)	\$606.42
12M Price Target	\$720.00
Upside / (Downside)	+18.7%
Market Cap	\$1.54T
FY2026E Revenue	\$205M
FY2027E Revenue	\$235M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	22.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$660.00	\$620.00	\$570.00
6 Months	\$750.00	\$680.00	\$550.00
1 Year	\$820.00	\$720.00	\$520.00
2 Years	\$950.00	\$800.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$500.00
10 Years	\$2200.00	\$1500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9%) and Industrials (+1.8%) — classic rotation into "old economy" names as investors get nervous about AI capex burn. This is a policy tailwind story too — Trump's energy dominance push and tariff-driven reshoring are direct fuel for these sectors.

COOLING OFF: Tech (-0.53%) — the whole "AI capex is out of control" narrative is spreading from GOOGL to META to the broader sector. This usually lasts a few days until earnings prove the spending is working.

ROTATION WATCH: Money is flowing out of mega-cap tech into cyclicals and energy — but this is a short-term move, not a regime change. The moment a big tech name reports and beats, it reverses.

RELATED PLAY: If you think the AI infrastructure spend continues regardless of stock price reactions, the picks-and-shovels names win — think NVDA, AVGO, and the data center power plays like VST and CEG. Those benefit whether META's stock goes up or down.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector's ripping, benefiting from the rotation out of tech and the current admin's drill-baby-drill policy stance.
- CAT (Caterpillar): Industrials winning on reshoring/infrastructure narrative — tariffs are making domestic manufacturing more competitive.

META CONTEXT: META is lagging the broader market today but so is all of mega-cap tech — this is sector rotation, not a META-specific problem. Once earnings hit next week and the AI capex fear either gets confirmed or debunked, META either leads the tech bounce or gets left behind. Given the ad business fundamentals, I'd bet on the bounce.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I want to see earnings before pounding the table. The ad business is a machine, but capex guidance is a real wildcard.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that a bad earnings print doesn't wreck you.

ENTRY POINTS: Start buying here around \$600-610, save dry powder for \$570 if we get another leg down before earnings. Don't chase above \$640 until we see the print.

TIME HORIZON: 12-24 months — the near-term catalyst is Q2 earnings next week, but the real thesis (AI-powered ad platform + Reality Labs eventually not being a black hole) plays out over 2 years.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, if the EU forces a breakup of ad targeting, or if capex hits \$150B+ for 2027 with no ROI story — any of those and I'm cutting size.

HEDGING: Simplest hedge — pair META with a cheaper tech name like GOOGL that already got punished, or hold some cash to buy more if it dumps on earnings. If you know options, buying a put at \$570 that expires after earnings costs you a small premium for peace of mind.